3.4 Behavioral Economics

Video: Behavioral Economics (Crash Course Economics)

What Is Behavioral Economics?

Economic models generally assume people are _____ and predictable. Real people can be impulsive and shortsighted.

_____ focuses on the psychological, social, and _____ factors that influence decision-making.

Most of the time people are rational, but economists accept _____: limits on information, time, and abilities that keep people from finding the best outcome.

Classical economics assumes consumers have _____ about prices and quality, but in reality they often don't. A very low price on ice cream might make people buy less.

Prices, Perceptions, and Bubbles

In a wine taste test, people who thought the price was higher _____, even when it was the exact same wine.

Investors aren't always cold and calculating. Irrational excitement helps explain _____, from Dutch Tulip Mania to the 2008 financial crisis. Keynes called this _____.

The Ultimatum Game and Framing

In the _____, one player proposes how to split $100. If the second player refuses, nobody keeps the money. Unequal offers like 80/20 are often rejected.

Rejecting free money is irrational, but people are also motivated by ideas like _____, injustice, and revenge.

The _____: choices depend on how options are presented (beef that is "75% fat free" vs. "25% fat").

Psychological Pricing and Nudges

A TV priced at $499.99 seems like a better deal than one priced at $500. This is called _____.

_____: nudges encourage people to act a certain way without changing the choices available to them.

Schools put fruits and vegetables on _____ shelves and desserts in less convenient places, and students chose the healthier foods.

Risk and Loss Aversion

Two envelopes: one has $100 and one has nothing. The _____, or average of the possible outcomes, is $50.

If you would take $50 cash instead, you are _____. If you would take less than $50 to avoid getting nothing, you are _____.

_____ is the idea that people strongly want to avoid losing. Losses are more painful than gains are pleasurable.

In Washington D.C., a five-cent bonus for reusable bags didn't do much, but a five-cent _____ on plastic bags got people to use fewer. Workers who had to pay back a bonus they already received performed significantly better.

Think About It

Describe a time a store's pricing, a sale, or the way a choice was framed influenced something you bought or decided. _____